higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

FINANCIAL MANAGEMENT
NQF LEVEL 4

26 NOVEMBER 2019

This marking guideline consists of 8 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	B		
	1.1.2	B		
	1.1.3	C		
	1.1.4	D		
	1.1.5	D		
	1.1.6	B		
	1.1.7	A		
	1.1.8	B		
	1.1.9	C		
	1.1.10	D		
			(10 × 1)	(10)

1.2	1.2.1	Income/Income and expenditure		
	1.2.2	Deduct		
	1.2.3	Current ratio		
	1.2.4	Attorney		
	1.2.5	Budget		
	1.2.6	Nontax deductible		
	1.2.7	IRP 5		
	1.2.8	Sales forecast		
	1.2.9	Creditors age analysis		
	1.2.10	Current assets		
			(10 × 1)	(10)

1.3	1.3.1	C		
	1.3.2	E		
	1.3.3	A		
	1.3.4	D		
	1.3.5	G		
	1.3.6	F		
			(6 × 1)	(6)

1.4 NOTE: Award ONE mark if only an answer is given and NO calculations.

1.4.1	20✓ × 250✓ = R5 000	(2)
1.4.2	20✓ × 500✓ = R10 000	(2)
1.4.3	R2 500 - does not change	(1)
1.4.4	R7 500✓ + R2 500✓ = R10 000	(2)
1.4.5	R12 500 + R2 500✓ = R15 000 (R500 x 50) ✓ = R25 000 – R15 000✓ = R10 000 Profit	(3)

1.4.6 $\frac{\text{Fixed cost}✓}{\text{Contribution}}$

$\frac{2\ 500\ ✓}{(500 – 250)\ ✓}$

= 10 metres✓ (4)
[40]

TOTAL SECTION A: 40

SECTION B

QUESTION 2

2.1 Partnership (1)
- The name of the business indicates that it is a partnership – Butho Catering Services and Partners.
- Thoko asked Busi Nkosi to become a partner in the business.

(Any relevant answer) (1 × 1) (1)

2.2
- Venture capitalists✓ are businesses which assist small businesses with financing.✓
- Bank/Commercial loans✓ Institutions such as banks and financial service providers lend funds to businesses.✓
- Government funding✓ Certain government institutions/departments provide funds to small businesses.✓ (Any relevant answer) (2 × 2) (4)

2.3
- Identity document of partners
- Proof of residence
- Cashflow statement
- Financial statements
- Business registration documents
- Business plan (Any relevant answer) (2 × 1) (2)

2.4
- Equipment or laptop
- Van
- Oven
- Flat (Any relevant answer) (2 × 1) (2)

2.5 2.5.1 R300 000 × 12%✓ × 5✓ = R180 000

(R300 000 + R180 000)✓/(5 × 12)✓ or 60

R8 000 per month (4)

2.5.2
- They will be able to determine whether the business is profitable or running at a loss.
- For tax purposes
- The information will be useful for compiling financial reports for the business.
- It may serve as reference for business debtors.
- It may assist owners to pay creditors on time.

(Any relevant answer) (2 × 2) (4)

2.6
- Pay as you earn
- Unemployment Insurance Fund
- Skills development levy
- Income tax
- VAT
- Occupational Injuries and Diseases
- Occupational health and safety

(Any relevant answer) (3 × 1) (3)

2.7
- Marketing plan✓ – A detailed study of the customers' needs and preferences, competitor analysis and the demographics of the market population is essential.✓
- Financial projections✓ indicate what the business intends to achieve in terms of income, costs and cash inflow.✓
- Business objectives✓ are the goals and objectives of the business i.e. what it wants to achieve and how to achieve it.✓

(Any relevant answer) (3 × 2) (6)

2.8

COSTS	*DIRECT/INDIRECT*
Wages of cleaner	Indirect✓
Flour for baking	Direct✓
Promotion pamphlets	Indirect ✓
Fuel for Busi's van	Indirect✓
Business telephone account	Indirect ✓

(5)

2.9

	JANUARY	*FEBRUARY*	*MARCH*
Cash sales:			
20%✓ × R600 000✓	**2.9.1** R120 000✓		
Credit sales: R600 000 x 80% = R480 000			
60%✓ × R480 000 ✓		**2.9.2** R288 000✓	
40%✓ × R480 000			**2.9.3** R192 000✓

(8)
[40]

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QUESTION 3

3.1 3.1.1 R96 000✓ – R90 000✓ = R6 000 Favourable✓ (3)

3.1.2 Demand for their products is better than planned.
Or any other relevant answer (1 × 1) (1)

3.1.3 R11 500✓ – R13 500✓ = R2 000 (2)

3.1.4 Unfavourable✓
- Taps were leaking.
- Not switching off oven when baking was finished

(Any 1 × 2) (3)

3.1.5 Cost : Benefit Ratio = Total cost/ Financial benefit to business

Project A (i) = 45 000✓(25 000 + 20 000)/ 50 000✓
= 0.9✓ or 90%

Project B (ii) = 43 000✓(18 000 + 25 000)/ 70 000✓
= 0.6✓ or 60% (6)

3.1.6 The business is spending R43 000 and receiving a return of R70 000 which is a 60% return. This is a good return for the business.
(Or similar) (1 × 2) (2)

3.1.7 National development strategies that support the business operations✓
Quotations from different suppliers✓
Market research to verify size of marketplace✓
Industry trends, to get updates for the industry in business trading✓
Researching production processes and the use of materials✓
Strength of competitors✓
Characteristics of customers✓
(Any relevant answer) (3 × 1) (3)

3.2 3.2.1 No (1)

3.2.2 The acceptable rate of **return** that the business has set for itself for investing is 12,6%✓. However, the **cost of borrowing** to finance the truck is 13%✓.
(Or similar) (2)

3.2.3 The payback period method calculates how long/the period/duration✓ it will take a business to recover the cost of the investment✓ from the cashflows that the project generates.
(Or similar) (2)

3.3 3.3.1

YEAR	ESTIMATED CASH INFLOW	PRESENT VALUE FACTOR OF R1 AT 15%	PRESENT VALUE FACTOR OF AN ANNUITY AT 15%
1	R45 000	0,8696	R39 132,00✓
2	R35 000	0,7561	R26 463,50✓
3	R20 000	0,6575	R13 150,00✓
4	R10 000	0,5718	R 5 718,00✓
		Total PV	R 84 463,50✓
		Less initial cost	(R135 000,00)✓
		Net present value	(R50 536,50)✓
		Using correct PV Factor✓	

(8)

3.3.2 No✓
The NPV of the van is less than zero or negative therefore it is not worth investing in the van✓ (2)
(Or similar) **[35]**

QUESTION 4

4.1 4.1.1 Total liabilities/Total assets✓

2017

73 000✓ + 47 476✓
126 759✓ + 65 502✓

$= \frac{120\ 476}{192\ 261} \times 100$

= 62,66%✓ (6)

4.1.2 Current assets/Current liabilities✓

42 500✓ + 23 934✓ + 500✓
47 176✓

66 934
= 47 176

= 1.42 : 1✓ (6)

4.1.3 **2017**
Total assets – Total liabilities
192 261✓ – 120 476✓ = 71 785

2018
149 481✓ – 92 176✓ = 57 305 (4)

4.1.4
- The revenue of the business decreased in 2018.
- The expenses of the business increased in 2018.

(Any relevant answer) (1 × 2) (2)

4.1.5 The long-term borrowings have been paid back. (1 × 2) (2)

4.2 4.2.1

$$\frac{\text{Net profit}}{\text{Turnover}} \times 100\checkmark$$

$$\frac{48\ 150\checkmark}{124\ 200\checkmark} \times 100$$

$$= 38{,}77\%\checkmark$$ (4)

4.2.2

$$\frac{\text{(Turnover for the year – Turnover for the previous year)}}{\text{Turnover for the year}} \times 100\ \checkmark$$

$$= \frac{108\ 000\checkmark - 124\ 200\checkmark}{108\ 000\checkmark} \times 100$$

$$= -15\%$$ (4)

4.2.3
- Gross profit is the profit after cost of sales is deducted from sales. It is the profit that the business generates only from buying and selling its trading stock – without considering any other income or expenses while✓
- Net profit is the final profit after operating expenses and all other charges, including interest and depreciation have been deducted from the gross profit. ✓

(Or similar) (2)

4.3
- Production budget is prepared to calculate the number of units of products✓ that must be manufactured.✓
- Labour budget is prepared to calculate the number of labour hours✓ that will be needed to produce the units itemised✓ in the production budget.
- Purchases budget indicates the amount of inventory✓ that a business must purchase during each period in order to meet the production budget requirements.✓ (3 × 2) (6)

4.4
- Water and electricity
- Telephone
- Wages
- Advertising
- Stationery

(Any 4 relevant × 1) (4)

[40]

QUESTION 5

5.1
- Primary rebate is an amount which SARS allows to all individual as a reduction✓ on their tax payable. It is deducted from the tax liability of the individual.✓
- Secondary rebate is an amount which SARS allows to all individuals who are 65 years and older as a reduction✓ on their tax payable. It is deducted from the tax liability of a person who is 65 years and older, together with their primary rebate.✓ (Any relevant answer) (2 × 2) (4)

5.2
- E-filling
- Visiting the SARS branch (Any relevant answer) (2 × 2) (4)

5.3 5.3.1

97 225✓ + [36%✓ of (545 000 – 410 460) ✓

97 225 + (36% of 134 450)

97 225 + 48 434,40

145 659,40✓ – 13 635✓ (primary rebate)

= 132 024,40✓ (6)

5.3.2

15 000✓ × 12✓ = 180 000

180 000 × 18%✓ = R32 400

R32 400✓ – R13 635✓ (primary) – R7 479✓ (secondary)

R11 286,00✓ (7)

5.3.3
- No, she is not liable to pay tax✓
- A worker is not liable to pay tax if his/her income is below the threshold of R75 750 per annum. ✓✓

(Any relevant answer) (3 × 1) (3)

5.4
- Private company
- Public company
- Close corporation (Any 2 × 1) (2)

5.5
- Penalty
- Imprisonment/Going to jail
- Getting arrested (Any 2 × 1) (2)

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5.6 5.6.1

	MACHINE Q
Cost of machine	R250 000
Year 1	(R20 000)✓
	R230 000
Year 2	(R30 000)✓
	R200 000
Year 3	(R30 000)✓
	R170 000
Year 4	(R40 000)✓
	R130 000
Year 5	(R50 000)✓
	R80 000
Year 6	(R50 000)✓
	R30 000
6 years (20 000/60 000 × 12✓)	(R30 000)

It will take 6 years and 4 months✓ (8)

5.7

5.7.1	150 000✓ × 100✓/115✓	130 434.78✓
5.7.2	Profit on the sale of the old computer	2 000✓

(4)

(1)

5.6.3
- The reconstruction of capital assets✓ by renewal or replacement✓ of a subsidiary part of the whole.
- The cost of repairing✓ newly obtained property, repairs that are necessary to make the property suitable for letting✓.
- The maintenance✓ in rent producing property, provided that work is not part of rebuilding the property✓. (Any 2 × 2)

(4)

[45]

TOTAL SECTION B: 160
GRAND TOTAL: 200